

Particulars	Nifty at 25,000 or below	Nifty at 25,150	Nifty at 25,300	Nifty above 25,420
Outcome of selling 25,150 call	Premium of ₹65 captured	Premium of ₹65 captured	Loss = $25,300 - 25,150 - ₹65 = ₹85$	Unlimited loss
Outcome of selling 25,300 call	Premium of ₹30 captured	Premium of ₹30 captured	Premium of ₹30 captured	Unlimited loss
Net outcome	Loss of ₹30	Gain of ₹120	Gain of ₹120	Unlimited loss

In this strategy, we capture the maximum reward between the strike price of the two call options sold, i.e., between 25,150 and 25,300. Let us visualise this pay-off.

